

Questions – Group Case Study #5

Warren E. Buffett, 1995, #UV0006

In this case, you will again evaluate Warren Buffett and Berkshire Hathaway's 1995 acquisition of GEICO. However, instead of evaluating Warren Buffett's investment philosophy, you will now need to determine a reasonable stock price for GEICO. **Your group report should be written in the form of answers to the questions below, using MS Word or MS PowerPoint.** When finished, please have someone in your group upload your answers as a PDF, MS Word, or MS PowerPoint file to Canvas.

When answering the questions below, use the Value Line estimates provided in Table 1 and on page 9 of the case. Specifically, assume that the cost of equity for GEICO is 11%, and use the dividend estimates from Table 1. The information in Exhibit 8 may also be helpful for your analysis in question #5. Finally, assume that you are valuing GEICO as of 1995, so the dividends expected in 1996 will occur one year away.

To assist with your calculations, I have created an MS Excel file that includes all the necessary data, and I've outlined boxes for you to fill in with MS Excel formulas to help you solve these questions. The file is saved as "Case 5 – Warren Buffett [Solution Template].xlsx" on our course website. You can then upload that completed MS Excel file as part of your submission.

This case is worth six points. Questions 1-4 count for one point each; question 5 is worth two.

In your analysis, please answer the following questions:

1. Based on Value Line's forecast information in the case (both the low and high estimates), what is the range of possible stock values for GEICO? *[Hint: To answer this, use the data in the MS Excel file and apply a formula based on the dividend-discount model to fill in cells B14 and C14 of that file.]*
2. Now suppose dividends, starting in 2001, will grow at 7% annually forever. [I.e., you should assume that the dividend in 2001 will be 7% larger than Value Line's forecasted dividend for 2000, and the annual dividend will continue to grow by 7% each year thereafter. Do not make any changes to the assumed dividends in earlier years.] Which value reported in Table 1 will need to change to reflect this new assumption? And what is the range of possible stock values for GEICO now? *[Hint: You should use the MS Excel file again, filling in cells B17, C17, B20, and C20].*
3. Using only the "low end" estimate of dividends, what growth rate in dividends from the year 2000 onward is necessary to justify the "exit price" of \$90 (i.e., the forecasted stock price in 2000) given by Value Line in Table 1? *[Hint: If you've done the above questions correctly, you can use the "Goal Seek" function to solve this question.]*

4. Using just the “high end” estimate of dividends, derive the forecasted 2000 price necessary to yield an internal rate of return of 28% to Berkshire Hathaway from this acquisition. *[Hint: It will be helpful to use the IRR command in MS Excel to fill in cell C30 of the MS Excel file. Then, you can use the “Goal seek” function to solve for the price needed to yield an IRR of 28% by having Excel modify cell C11 until it yields IRR = 28%. Otherwise, you can use a guess and check approach.]*
5. Based on your analysis, should Berkshire’s shareholders endorse the \$70 per share acquisition proposed by Warren Buffett? Which pieces of information from your analysis indicate that the intrinsic stock value in 1995 exceeds \$70 (i.e., Warren Buffett benefits from the deal)? What information suggests otherwise? [Remember, 28% is the average return of Berkshire’s stock from 1965 to 1994.]